

- Represent exiting of a pool and redemption of underlying (common in equity tokens like cTokens for Compound that are discussed in Chapter 6)
- Increase scarcity to drive the price up (e.g., AAVE in Chapter 6, Seigniorage Stablecoin models like Basis/ESD)
- Penalize bad acting

Mint: Increase Supply

The flip side of burning is *minting*, which increases the number of tokens in circulation. Contrary to burning, there is no mechanism for accidentally or manually minting tokens. Any mint mechanics have to be directly encoded into the smart contract mechanism. There are many use cases for minting as it can incentivize a wider range of user behavior. Here are some examples:

- Represent entering a pool and acquiring corresponding ownership share (common in equity tokens like cTokens for Compound)
- Decrease scarcity (increase supply) to drive the price downward (seigniorage Stablecoin models like Basis/ESD)
- Reward user behavior

Rewarding user behavior with increases in supply (*inflationary rewards*) has become a common practice to